

HEADLINE JUDGMENT

Note: 30 Jun figures are intraday prints; 29 Jun is now a final close. Bloomberg's restated continuation series in force throughout. A second US gasoline series is added this edition (USFRUSA — DOE regular-grade spot) alongside the existing AUTMUSAG (AAA all-grades pump); see the cross-asset table and methodology. **Score HOLDS at 21/30 — the escalation upgrade flagged on 29 Jun was confirmed and intensified over the weekend, then capped by a stand-down.** The flare-up went well beyond the 25 Jun ship strike: Iran launched drones and missiles at the US Fifth Fleet base in Bahrain and the Ali Al Salem airbase in Kuwait on Sunday (28 Jun) — a level-5 event — but **both sides stood down Monday (29 Jun), and US-Iran technical talks (working groups on nuclear energy and sanctions) begin today, 30 Jun.** So escalation holds at 4 (not 5 — rapid stand-down and talks resuming; not 3 — the weekend strikes were serious and the stand-down is a day old). The JMIC also widened the Omani-coast route (27 Jun), challenging Iran's grip. **Markets read it as contained:** Brent ~\$73.45 (near pre-war, risk premium ~\$1/bbl), VIX eased to 17.65, the dollar steady ~101.3, and yields fell over the week (10Y -12 bp w/w). Oil holds 2, US-inflation 3 (5Y5Y 2.17%), Treasury 4 (→3 watch), maritime 4 (IMO evacuation still paused, Iran asserting route control), political 4 (gasoline ~30% above pre-war on both series). The medium-term normalization is intact, but the path now runs through live escalation risk — the stand-down's durability and today's talks are the swing. Sequencing 20 → 21 → 21.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

30 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 29 Jun and earlier are final closes (restated continuation series). d/d deltas are 30 Jun intraday vs 29 Jun close; w/w deltas are vs 23 Jun close.

Benchmark	Intraday 30 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$73.45 /bbl	−\$0.46 (−\$3.35 w/w)	from \$72.48 (+1.3%) — near pre-war; risk premium ~\$1.0/bbl, a small bid from the weekend flare-up	CO1 Comdty
Brent · 29 Jun close (carried)	\$73.91 /bbl (vs \$73.36 intraday I reported)	close ran \$0.55 above my intraday — oil firmed into a calm close		CO1 Comdty (Close)
WTI front-month	\$69.93 /bbl	−\$0.48 (−\$2.61 w/w)	from \$67.02 (+4.3%) — low \$70s	CL1 Comdty
Brent-WTI spread	\$3.52 /bbl	+\$0.02 d/d	steady	derived
Henry Hub natural gas	\$3.17 /MMBtu	−\$0.01 (+\$0.03 w/w)	from \$3.06 (+3.6%) — near pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€42.61 /MWh	−€0.01 (+€0.59 w/w)	from €31.23 (+36.4%) — firm on the renewed strait risk	TZTA Comdty
Japan/Asia LNG (26 Jun print)	¥2,479	— (lagged)	from ¥1,669 (+48.5%) — stable	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun-Jul assumed a closed strait — now badly stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

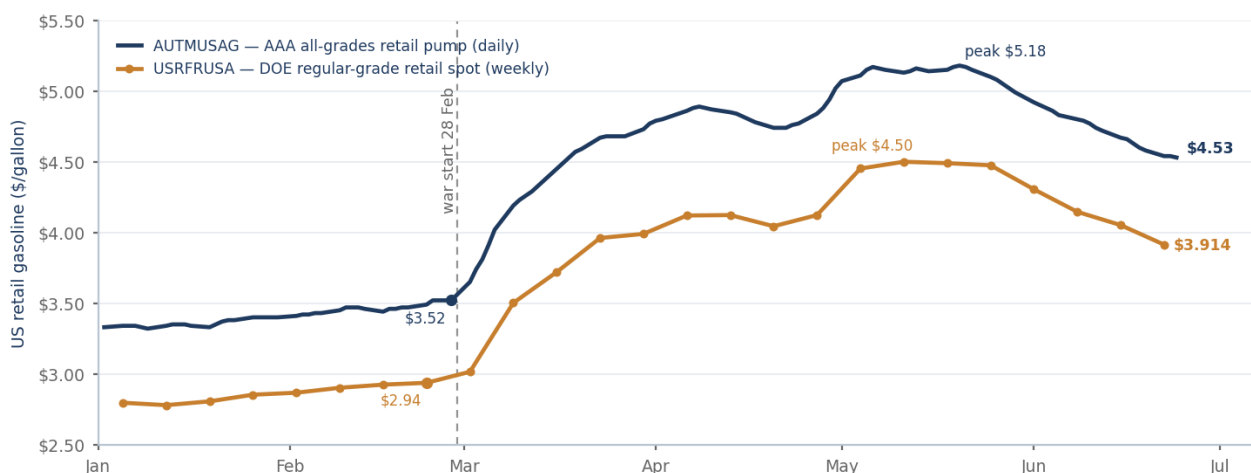
30 Jun 2026 yields are intraday. d/d deltas are 30 Jun intraday vs 29 Jun close; w/w deltas are vs 23 Jun close. Yields eased over the week; the complex still reflects the 17 Jun hawkish FOMC.

Tenor	Yield (%) — intraday 30 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.10	−0.0	−9.4	+73 (from 3.37%) — easing but hawkish-FOMC level	USGG2YR Index
5-year UST	4.14	−0.4	−12.9	+64 (from 3.50%)	USGG5YR Index
10-year UST	4.37	−0.2	−12.4	+43 (from 3.94%) — 28 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.86	−0.4	−8.6	+25 (from 4.61%) — below 5.00%, 36 bp above the 4.50% leg	USGG30YR Index
2s10s spread	+27 bp	−0.0	−3.0	−29 (flat — hawkish Fed)	USYC2Y10 Index
10Y breakeven inflation	2.22 (29 Jun)	—	—	−4 (from 2.26%) — below pre-war	USGGBE10 Index
5Y5Y forward inflation	2.17	−0.3	+0.9	+3 (from 2.14%) — just above the pre-war anchor (US-inflation at 3)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	101.27	30 Jun intraday	+3.67 (from 97.61)	Holding >101.2 on the hawkish FOMC. Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	68.14	29 Jun (lagged)	-5.24 (from 73.38)	Above the 65 leg — the Treasury →3 trigger not yet met despite the long-end rally. Far below the 130 Stage-4 level.
VIX (equity vol)	17.65	29 Jun (lagged)	-2.21 (from 19.86)	Below pre-war — the weekend flare-up (incl. strikes on US bases) did not spark equity stress.
Gasoline · AUTMUSAG (AAA, all-grades pump) — score reference	\$4.53 /gal	24 Jun (latest)	+\$1.01 (from \$3.52, +29%)	The political-stress channel's reference (continuity; pre-war \$3.52, peak \$5.18). Below the \$4.75 threshold, easing toward but ~\$1 above pre-war.
Gasoline · USRFRUSA (DOE, regular-grade spot) — new	\$3.914 /gal	22 Jun (weekly)	~+\$0.97 (from ~\$2.94, +33%)	New complementary gauge: regular-grade spot, the most-consumed fuel. Peak \$4.50 (11 May); corroborates the AAA read — ~30% above its own pre-war and easing.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest \$4.53); USRFRUSA (DOE regular-grade retail spot, weekly) is the new complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$3.914). Both spiked from the 28 Feb war start and have since retraced most of the move, sitting ~30% above their respective pre-war levels.

Strait operational state

Indicator	Current reading	Source
Weekend flare-up — strikes on US bases	Beyond the 25 Jun ship strike and the 26 Jun US retaliation, Iran's IRGC launched drones and missiles at the US Fifth Fleet base in Bahrain and the Ali Al Salem airbase in Kuwait on Sunday (28 Jun) — a sharp, brief escalation.	Newsweek / CENTCOM
Stand-down (29 Jun)	Both sides agreed to stand down Monday; Trump kept his response deliberately vague ("you'll find out") but signaled no return to active war. A UAE-Iran foreign-minister call followed a false missile-alert in Dubai.	Newsweek / Fox
Technical talks begin today (30 Jun)	Rubio: expert-level working groups on nuclear energy and sanctions start 30 Jun — the core of the 60-day process. The US is trying to keep the Israel-Lebanon track separate; Iran insists they are entwined.	CNN / Reuters
JMIC widened Omani route (27 Jun)	The US Navy-overseen Joint Maritime Information Center widened a route near Oman, allowing increased two-way naval traffic — a direct challenge to Iran's control. Central channel still mined (one mine sighted).	Wikipedia / JMIC / NPR
Traffic / IMO evacuation	Weekly transits hit ~125 (Lloyd's, highest since the war) before the attack; the IMO evacuation of ~600 ships / 11,000 seafarers is still paused; Iran's PGSA insists on its declared routes; insurers remain "on edge."	Lloyd's / CNBC / Newsweek
Frictions — tolls, Lebanon, IAEA	Iran signals strait fees resume after the 60-day window (US/GCC reject); the Lebanon ceasefire is "showing cracks" (Israeli strikes, phased-withdrawal talks in Washington); the IAEA-inspection dispute is unresolved.	Newsweek / NPR / PBS

2 · US economic shock — analysis with bond yields

The US economic shock holds at **21/30**. The weekend brought a real military flare-up — Iranian strikes on US bases in Bahrain and Kuwait — that briefly touched level-5 territory, but a Monday stand-down and the start of technical talks today capped the escalation channel at 4. The market channels barely moved (oil near pre-war, 5Y5Y just above its anchor, VIX below pre-war), so the score's elevation remains geopolitical, not market-priced. No Stage-4 signal.

2.1 · Bond-yield transmission

30 Jun yields are intraday; d/d vs 29 Jun close, w/w vs 23 Jun. **Score held at 21; no channel moved on the 29 Jun close.** Yields eased over the week (10Y -12.4 bp, 5Y -12.9 bp w/w) even as the dollar held >101.2 and the weekend flare-up flared and faded; the long end is

steady (30Y 4.859%). Brent eased to \$73.45.

(i) Inflation anchor — just above; held at 3. 5Y5Y forward at 2.17% (2.1728% close 29 Jun) is +2.8 bp above the 2.142% pre-war anchor; 10Y breakeven 2.22% is below pre-war. The forward impulse is near pre-war but stable, not falling — US-inflation holds at 3. A sustained close at/below 2.142% takes it to 2.

(ii) Long-end — 4.86%; Treasury Fed-pinned at 4, →3 watch. 30Y at 4.859% holds below 5.00% and MOVE 68.14 is easing toward the 65 leg, but the 30Y is 36 bp above the 4.50% leg and the front end is firm (2Y 4.10%, dollar >101.2) on the hawkish dots. The →3 needs both legs. 10Y at 4.37% is 28 bp below the 4.65% trigger.

(iii) Oil — at pre-war but bid; held at 2. Close path: \$72.60 (26 Jun) → \$73.91 (29) → \$73.45 intraday (30 Jun); WTI \$69.93. The weekend flare-up keeps a ~\$1/bbl premium even as the physical glut builds. Oil holds at 2; a sustained close at the \$72.48 anchor absent fresh incidents takes it to 1; a re-closure / sustained strikes restores 3.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the complex is far from it even with the weekend flare-up, which left no mark on bond vol or the curve.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 4.90%, coupon auctions should price comfortably.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.859% is 34 bp below the 5.20% trigger; 10Y 4.37% is 28 bp below 4.65%.

Threshold C · MOVE above 130. Contained. MOVE 68.14 and VIX 17.65 are both below pre-war — the strikes on US bases did not move them. Far below Stage-4 levels.

2.3 · Cross-asset

The divergence sharpened: Iranian strikes on US bases in Bahrain and Kuwait — a serious escalation — left Brent up only ~\$1, VIX below pre-war and the long end still easing. Markets are treating the flare-ups as leverage-driven brinkmanship within a holding ceasefire, not a path back to war. The score's residual 21 is geopolitical (escalation 4, maritime 4 — strikes, mines, a paused evacuation) plus the Fed-pinned Treasury 4 and the lagging gasoline channel; oil and inflation sit at pre-war. On gasoline, the new DOE regular-grade spot series (\$3.914, ~33% above its pre-war) corroborates the AAA pump read (\$4.53, +29%) — both confirm a lagging but easing pump cost.

3 · Shock score

Total: **21/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4. The JMIC widened the Omani route (positive), but the IMO evacuation is still paused after the ship strike, Iran's PGSA insists on its declared routes, the central channel is still mined, and insurers remain on edge. Not 5 — no formal re-closure.	↑ strait re-closed / blockade reinstated → to 5. ↓ traffic >25% normal for 10 sessions (verified mine-free) → to 3.
Oil price shock	2/5	Held at 2. Brent \$73.91 close (29 Jun) → \$73.45 intraday; risk premium ~\$1.0/bbl. The weekend flare-up keeps a small bid even as the physical glut builds.	↑ Brent >\$95 sustained → to 3. ↓ Brent close at the \$72.48 pre-war level sustained (absent fresh incidents) → to 1.
US inflation impulse	3/5	Held at 3. 5Y5Y 2.17% is +2.8 bp above the 2.142% pre-war anchor; 10Y BE 2.22% (below pre-war). The forward impulse is near pre-war but stable.	↑ 5Y5Y clearly rising >2.20% → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	Held at 4 — Fed-pinned, →3 watch. 30Y 4.859% (<5.00%) with MOVE 68.14 easing toward the 65 leg; but the 30Y is 36 bp above 4.50% and the front end is firm on the hawkish dots (2Y 4.10%, dollar >101.2).	↑ 30Y close >5.00% with MOVE >75 → to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Scored on AUTMUSAG (AAA pump) for continuity: \$4.53 (24 Jun), below the \$4.75 threshold, ~\$1 above the \$3.52 pre-war. The new DOE regular-grade spot (\$3.914, ~+33% vs pre-war) corroborates.	↑ gasoline >\$4.75 sustained → to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	4/5	Held at 4. The weekend flare-up peaked at a level-5 event — Iranian strikes on US bases in Bahrain and Kuwait (28 Jun) — but both sides stood down Monday and technical talks begin today (30 Jun). Not 5 (stand-down, talks); not 3 (the strikes were serious, stand-down a day old).	↑ sustained strikes / re-closure / deal collapse → to 5. ↓ talks hold + incidents cease + normalization → back to 3.
TOTAL	21/30	Systemic-risk-watch band — held at 21. A weekend military flare-up confirmed the escalation channel at 4; the market channels held near pre-war and shrugged it off. The medium-term normalization is intact but punctuated by live escalation risk — today's talks and the stand-down's durability are the swing.	

4 · What's changed since the last edition (29 Jun AM → 30 Jun AM)

Score holds at 21/30. The escalation channel (upgraded 3→4 on 29 Jun) was confirmed and intensified over the weekend, then capped by a Monday stand-down and today's talks. No market channel moved. Source: Newsweek / CNN / Bloomberg.

Weekend flare-up — strikes on US bases. Iran launched drones/missiles at the US Fifth Fleet base in Bahrain and Ali Al Salem in Kuwait on Sunday (28 Jun) — a level-5 event — but both sides stood down Monday. Escalation holds at 4 (not 5). Source: Newsweek.

Technical talks begin today (30 Jun). Expert working groups on nuclear energy and sanctions start — the core 60-day process and the main de-escalation path. Source: CNN / Reuters.

JMIC widened the Omani route (27 Jun). A US Navy-overseen route near Oman widened for two-way traffic, challenging Iran's control — but the IMO evacuation is still paused and Iran asserts its routes. Maritime holds at 4. Source: Wikipedia / JMIC.

Market read: contained. Brent ~\$73.45 (near pre-war), VIX 17.65 (below pre-war), dollar steady, yields eased w/w. Oil holds 2, US-inflation 3, Treasury 4. Source: Bloomberg.

New gasoline series added. USFRUSA (DOE regular-grade spot) is now tracked at \$3.914 (22 Jun, ~+33% vs its ~\$2.94 pre-war), alongside AUTMUSAG (AAA pump, \$4.53). The political-stress score stays on AUTMUSAG for continuity; USFRUSA corroborates. Source: DOE / AAA via Bloomberg.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — incidents contained, normalization resumes	50%	The stand-down holds, today's talks progress, the IMO evacuation resumes and the JMIC route builds traffic. The downtrend resumes. Trimmed on the weekend flare-up.	Brent \$66–76; 30Y 4.5–4.9%; MOVE <68; score resumes its drift toward the stress band (8–14).
Slow / partial implementation	35%	Ceasefire holds but normalization is slow and punctuated by incidents — route disputes, a mined central channel, the toll fight, cautious insurers, 2027 for full flows.	Brent \$72–84; yields stable; residual risk premium ~\$1–6/bbl; maritime and escalation stay put.
Implementation breakdown (60-day window)	9%	Today's talks stall, or the toll/IAEA terms snag, or Iran re-restricts the strait — stalling the deal without full-scale war.	Brent \$84–98; yields drift up; risk premium rebuilds toward \$12–18/bbl; escalation to 4–5.
Ceasefire breakdown / re-escalation	5%	The flare-ups recur and spiral — via Hormuz, US bases or Lebanon — and active hostilities resume despite the MOU. Raised on the strikes on US bases.	Brent \$104–132; 10Y >4.65%; 30Y >5.20%; risk-off; score back into the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/re-mined. Tail risk, held down for now by the repeated stand-downs.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 29 Jun edition: deal-holds normalization –2 (52→50), slow/partial +1 (34→35), ceasefire-breakdown +1 (4→5); implementation-breakdown (9%) and regional relapse (1%) held. Driver: the weekend strikes on US bases were a sharper escalation than the ship attack and lift the breakdown tail, but the rapid Monday stand-down and the start of technical talks today keep the contained paths dominant. The hawkish Fed pins the Treasury channel regardless.

6 · Watchlist · next 24–72 hours

Technical talks (begin today, 30 Jun) — the swing. Expert working groups on nuclear and sanctions. Progress takes escalation back toward 3 and resumes the downtrend; a stall or walkout risks a move toward 5 and the crisis band.

Stand-down durability. Both sides stood down Monday after the ship strike, the US retaliation and the strikes on US bases. Whether the lull holds or another incident erupts is the key near-term risk.

JMIC route / IMO evacuation — maritime to 3. The widened Omani route and a resumption of the paused ~600-ship evacuation, with sustained >25% transits (verified mine-free), would take maritime 4→3; further attacks take it toward 5.

Oil at pre-war — oil to 1. Brent \$73.45 carries a ~\$1/bbl premium; absent fresh incidents, a sustained close at the \$72.48 anchor takes oil 2→1. A re-closure / sustained strikes restores 3.

Treasury long-end — →3 watch. 30Y 4.859% with MOVE easing to 68.14; a 30Y close <4.50% with MOVE <65 would take Treasury 4→3. Incoming CPI (4.2%) is the governor.

Gasoline (both series) — political to 3. AUTMUSAG \$4.53 (score reference) and USFRUSA \$3.914 sit ~30% above their pre-war levels; a continued grind toward pre-war (AAA \$3.52) takes political-stress 4→3.

Lebanon / tolls. The “cracking” Lebanon ceasefire and Iran's post-60-day toll signals are the other routes to a breakdown — and levers Iran ties to the strait.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; **AUTMUSAG (AAA all-grades retail pump — political-stress score reference) and new this edition USFRUSA (DOE regular-grade retail spot, weekly — complementary gauge).**

Gasoline-series note (per Bloomberg AskB). AUTMUSAG is an AAA-sourced, at-the-pump national composite across all grades, daily with a one-day lag — a consumer cost-of-living gauge. USFRUSA is a DOE regular-grade (87 AKI) retail spot price, weekly — a cleaner read on the most-consumed fuel. The score stays on AUTMUSAG to preserve the pre-war \$3.52 anchor and trigger history; USFRUSA is tracked alongside for corroboration.

Tier 1 — news and institutional. Newsweek, CNN, NPR, PBS, Fox, CNBC, Reuters, Bloomberg, Lloyd's List, MarineTraffic; US CENTCOM, JMIC, IMO, US State Dept, Federal Reserve. The weekend strikes on US bases in Bahrain/Kuwait and the Monday stand-down, the 30 Jun start of technical talks, the JMIC widened Omani route, and the paused IMO evacuation via Newsweek / CNN / Wikipedia / Lloyd's.

Tier 3 — state media (labelled). Iranian statements (PGSA route warnings, “Iran's responsibility” for maritime traffic, resume-tolls signals) are labelled and corroborated against CNN / NPR / Reuters; IRNA, Tasnim, Mehr, Press TV, Xinhua, TASS used only with explicit role labels

and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (29 Jun); re-map columns after the USRFRUSA insertion (DXY now col98); capture restatements.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 23 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market channels move on a confirmed close (none moved). Escalation-risk is event-based, held at 4: the weekend strikes on US bases peaked at level-5 but the Monday stand-down and today's talks capped it. Political-stress stays scored on AUTMUSAG.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 29 Jun close firmed \$0.55 above my oil intraday into a calm close).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with today's talks, the stand-down's durability, the JMIC route / IMO evacuation, and oil vs its pre-war anchor.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based — this edition it held at 4 (the weekend strikes on US bases peaked at level-5 but a Monday stand-down and the start of talks today capped it). A hawkish FOMC continues to pin the Treasury channel at 4.

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18) for continuity. USRFRUSA (DOE regular-grade retail spot; pre-war ~\$2.94, peak \$4.50, latest \$3.914) is added this edition as a complementary gauge of the most-consumed fuel and currently corroborates the AAA read (~30% above pre-war, easing). The score reference is unchanged to preserve the time series.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent (+1.3%), 5Y5Y (+3 bp) and gasoline sit just above pre-war; WTI, 10Y breakevens, MOVE and VIX are at/below it; the hawkish Fed holds the front end and dollar above it.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close. Market-channel triggers are evaluated only on confirmed closes; escalation-risk is event-based. This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.